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As active brokers and capital facilitators, we constantly engage with investors, operators, and lenders to stay abreast of the Seniors Housing and Long-Term Care market. This brief report highlights key insights gathered from recent conversations with industry stakeholders of all types.

- Overbudgeted continuing care developments have shifted to offer their Independent Living portion as a fee simple ownership model. This allows the developer to cash-out part of their equity and create working capital to fund lease-up costs. These Independent units are in the form of cottages and duplexes.
- Assisted living providers are acquiring hospice organizations to bring these services in-house. This approach ensures more consistent service, as facilities previously relied on multiple third-party hospice providers, and helps reduce lost revenue.
- Some Skilled Nursing providers are choosing to bring their Pt. B supplies billing in house. Chain operators benefit the most from this as the per-facility savings are nominal ($2,500-$3,000/month).
- Developers are anticipating a future inventory shortage and are beginning to seek land parcels for new projects. When these projects open in 3–4 years, developers expect significant demand due to the undersupply of new construction since 2020.
- Class B and C Independent Living communities are trying to become more "needs-based" by incorporating home health into their buildings. The regulations for a home health agency and staffing requirements aren't as strict and these combined rates may be ~20% lower than a licensed assisted living setting.
- Prospective residents are less frequently accepting asking rates at a community. Many families are negotiating by pitting nearby communities against each other and collecting extensive market data before touring a facility.
- Short sales of underperforming senior property loans are common among newly merged lenders. Although not publicly disclosed, it's clear that the acquiring lender absorbed these loans at a significant discount from their principal balance and is open to short sale options where their new basis in the asset is fully repaid.
- Occupancy rates for communities remain largely unaffected by new developments opening. This is because these new projects have significantly higher asking rates than their older counterparts, targeting a different demographic of residents; even if competition is less than 10 years old. However, competing for staff with these newer communities presents an entirely different challenge.
- Institutional landlords and REITS are considering smaller, more local operators to lease their properties in favor of creditworthy chain organizations. These can be startup organizations that are more local to their facilities. The lack of a stronger financial guarantee is offset by the local presence of an operator and their hands-on approach.
- Several non-profit organizations are considering selling their assets to create a fund that would use the sale proceeds to supplement low-income seniors in their market at other communities. Some for-profit operators view these struggling non-profit campuses as partnership opportunities and are proactively reaching out.

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